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Reg.No : .....
Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (Honours)/MGU-BBA (Honours)/MGU-BCA (Honours) Special Examinations, July 2026 (for 2024 Admission Regular Examinations, October 2025)

Third SEMESTER

Discipline Specific Core Course (DSC) - MG3DSCCOM200 - FINANCIAL ACCOUNTING

(2024 ADMISSION ONWARDS)

Duration: 2 Hours **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Very Short Answer Questions

Answer any **12** questions

Each question carries **1** marks

1. What is the effect of goods given as free sample ? [U] / [CO1]
2. Name the assets that gradually diminish in value due to consumption over a finite period. [U] / [CO1]
3. Horizontal format of financial statements is also known as---- [U] / [CO1]
4. The main objective of Accounting Standards is to ensure _____and _____in financial reporting. [U] / [CO1]
5. Which framework focuses on usefulness for stakeholders? [U] / [CO1]
6. Which basis is used for distributing carriage outwards among departments? [U] / [CO2]
7. Closing stock of Dept. C contains ₹5,000 goods transferred from Dept. D at 20% profit on transfer price.Find unrealised profit and give journal entry. [U] / [CO2]

8. A distinct unit within an organisation that handles a sepcific type of products or services and functions as a separate profit centre under same roof [U] / [CO2]

9. Branches that do not maintain their own books of accounts are called _____ [U] / [CO3]

10. Which account is used to adjust loading (unrealised profit) on goods sent to branch? [U] / [CO3]

11. Transactions between branch are called……. [U] / [CO3]

12. What does the debit side of Branch Account show? [U] / [CO3]

13. What entry is made when short working becomes irrecoverable in lessee's books? [U] / [CO4]

14. Which term is used for the difference between Minimum rent paid and royalty payable when output is low? [U] / [CO4]

[1x12 = 12]

Part B

Short Answer/ Problem Type Questions

Answer any **4** questions

Each question carries **7** marks

15. The extracts of Trial Balance of a Firm as on 31-12-20XX are given below [A] / [CO1]

Particulars	Dr. (Rs.)	Cr. (Rs.)
Sundry Debtors	62,000	
Provision for doubtful debts		2,000
Bad debts	3,000	

Additional Information:

1. Further Bad debts to be written off Rs. 2,000
2. Maintain a provision for doubtful debts @ 5%.

Pass necessary Journal Entries, Ledger Accounts

16. Explain the following items with examples: (a) Fixed Assets (b) Current Liability (c) Contingent Assets [U] / [CO1]

17. Prepare the Departmental Trading Account for the year for two departments, Alpha and Beta, from the following particulars: [A] / [CO2]

Particulars	Alpha (₹)	Beta (₹)
Opening stock	12,000	9,000
Purchases	36,000	30,000
Sales	54,000	45,000
Closing stock	18,000	12,000
Goods transferred from Alpha to Beta	-	6000
Services rendered from Beta to Alpha	1,500	-

Carriage inward amounting to Rs. 5500

18. A Head office has a branch at Kottayam which sells goods for cash only, Prepare Kottayam Branch from the following information for the year ended 31st December 20XX [A] / [CO3]

		₹
Stock as on 1.1.20XX		10,000
Petty cash as on 1.1.20XX		1,000
Goods supplied to the branch		50,000
Goods return by the branch		5,000
Cheque sent to branch Salary Rent Petty cash	 2000 1500 500	 4,000
Stock as on 31.12.20XX		8,000
Cash sales		80,000
Salary outstanding		500

Petty cash is maintained under imprest system

19. Under the Stock and Debtors System, which accounts are prepared in Head Office books? Present the format of any three of them. [U] / [CO3]

20. Mr. X obtained a mine on lease for the following terms: [A] / [CO4]

1. To pay minimum rent of ₹ 24,000 per year.

2.Each year's excess of minimum rent over the actual royalties can be recovered during the subsequent two years.

3.Royalty was calculated at 0.50 per tone

Production during the four years as follows

Year	production (in tons)
I	28,000
II	36,000
III	60,000
IV	64,000

Prepare a Royalty Analysis Table

[7x4 = 28]

Part C

Essay/ Problem Type Questions

Answer any **2** questions

Each question carries **15** marks

21. The following balance were extracted from the books of Sri. Arun Mohan. You are required to prepare Final a/c for the year ended 31/3/20xx. [A] / [CO1, CO5]

Debit balance	*Rs.*	*Credit balance*	*Rs.*
	7500		*43,000*
Opening stock	*1500*	*Sales*	*7500*
Purchases	*2,500*	*Sundry creditors*	*300*
Wages and salaries	*13000*	*Rent outstanding*	*1200*
Sundry debtors	*1000*	*Discount received*	*2800*
Bad debts	*300*	*Bills payable*	*150*
Sales returns	*5000*	*Purchase returns*	*500*
Patents	*1800*	*Bad debt*	*600*
Rent	*400*	*recovered*	*3800*
Drawings	*200*	*Interest*	*2000*
Tuition fee of the	*1800*	*Capital*	*12000*
son	*17200*	*Loan from bank*	*12000*
Furniture	*800*	*Output CGST a/c*	*21000*
Buildings	*100*	*Output SGST a/c*	
Cash in hand	*1200*	*Output IGST a/c*	
Prepaid expenses	*50*		

Distribution	*1200*		
expense	*7000*		
Bank charges	*10000*		
Repairs	*15000*		
Motor vehicles	*15000*		
Depreciation	*25000*		
Input CGST a/c			*1,41,050*
Input SGST a/c	*1,41,050*		=========
Input IGST a/c	==========		

Closing stock on 31/3/20xx is valued at Rs.8000

22. A head office in Chennai has a Branch in Delhi to which goods are invoiced by the head office at cost plus 25%. All cash received by the branch is daily remitted to head office .from the following particulars , show how the branch account will appear in the H.O books . Entries are to be made at invoice price . [A] / [CO3, CO5]

Stock on January 1 , 20xx (at invoice price)		62,500
Debtors on 1-1-20xx		60,000
Goods supplied by the H. O. (at invoice price)		2,00,000
Cash sales		80,000
Cash received from customers		1,47,500
Goods returned to the head office (at invoice price)		12,000
Cheque received from the H .O. :		
Sundry Exoenses	3,550	
Wages & Salaries	56,000	
Rent , rates & Taxes	16,000	
Stock on 31-12-20xx(at invoice price)		75,000
Debtors on 31-12-20xx		1,12,500
Liability for petty expenses		650

23. The following balances were extracted from the books of Dev Shanker,You are required to prepare departmental Trading account and Profit and Loss account for the year ended 31st December 2024,after adjusting the unrealized departmental profit,if any. [A] / [CO2, CO5]

	Department A (₹)	Department B(₹)
Opening stock	50,000	40,000
Purchases	6,50,000	9,10,000
Sales	10,00,000	15,00,000

General expenses incurred for both the departments were ₹1,25,000 and you are also supplied with the following information:

a. Closing stock of Department A ₹1,00,000 including goods from Department B for ₹20,000 at cost to DepartmentA.
b. Closing stock of Department B ₹2,00,000 including goods from Department A for Rs 30,000 at cost to Department B
c. Opening stock of Department A and Department B includes goods of the value of ₹10,000 and ₹15,000 taken from Department B and DepartmentA respectively at cost to transferee Department.
d. The gross profit is uniform year to year.

[15x2 = 30]